

But it was not the best place to be hunting for the best long-term investment—especially if you were Jewish or belonged to one of many other “undesirable” groups. In 1939, World War II began. Before it was over, practically every major German city had been pulverized by bombs, and about a third of the country was seized by the Soviets. East Germany wasn’t reunited with West Germany until 40 years later.

Imagine that you were in China in the late 1940s. The Maoists chased the nationalists under Chiang Kai-shek from the mainland to Taiwan. A significant number of Chinese went with him. Some few left the Far East altogether and moved to North America. What happened to them all? Those who remained in China suffered four decades of misery, including famines, poverty, Great Leaps, Cultural Revolutions, gray jackets, one-child policies, and quasi-enslavement. Those who moved to the United States and Canada enjoyed the highest standards of living in the world, with complete freedom of movement.

Which would you prefer?

The point is, sometimes it pays to stop chasing alpha—the next deal, the next stock, the next triumph—and step back and look at the big picture. It can affect not only your life but the lives of your children and grandchildren. Beta is a big question, much bigger than just the question about whether to switch from stocks to bonds. It is an essential question. Yet it is the question very few investors bother to ask.

THE RESOURCE ADVANTAGE

Here’s a quandary for you:

Americans have enjoyed the land of milk and honey for more than 300 years. But in the past 10 years, the upward slant of progress has leveled out. This could be just a simple setback in an otherwise unblemished history of material success. It could be a fluke. It could be a blip. Or it could be more than that. It could mean that the advantages bestowed on previous generations of Americans have been tapped out. From here on out, Americans may have to fight for every bit of wealth—on equal terms with the rest of the world. Or even at a competitive disadvantage.